Fintech Assignment 2 – Machine learning with Company Analysis

FINC 6580: MSBA Fintech
Group SAXA 3
Mike Johnson | Kris Lederer | Sebastian Martinez | Ryan Mathis | Khushi Patel

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Company Description

At a Glance

Company: OPAL Fuels Inc.

Ticker: OPAL

Exchange: NASDAQ

Business Model

OPAL Fuels is a vertically integrated producer and distributor of Renewable Natural Gas (RNG). They capture waste methane from landfills and dairy farms, refine it into pipeline-quality RNG, and distribute it to heavy-duty trucking fleets through their own network of fueling stations.

Strategy & Uniqueness

End-to-End Value Chain

OPAL controls the entire process, from waste gas capture at the source to the final fueling station.

Heavy-Duty Transport Focus

Targets the "hard-to-decarbonize" transportation sector, meeting high demand for diesel alternatives.

Significant Environmental Value

The business model creates value by capturing potent methane (GHG) and displacing fossil fuels.

Main Competitors

Clean Energy Fuels Corp

A leading US renewable natural gas (RNG) producer and fueling-station operator, supplying low-carbon fuel for heavy-duty fleets while directly competing with OPAL in RNG sourcing and station infrastructure.

Gevo

It produces SAF and renewable hydrocarbon, with technologies in alcohol-to-jet, which competes for airline offtake agreements, feedstock, and federal clean-fuel incentives.

Comstock Inc.

A fully integrated renewable fuels and advanced biomass conversion company, generating drop-in fuels and chemicals from waste biomass; competing based on technology innovation, feedstock access, and developing low-carbon markets.

Financial Position

Performance Highlights

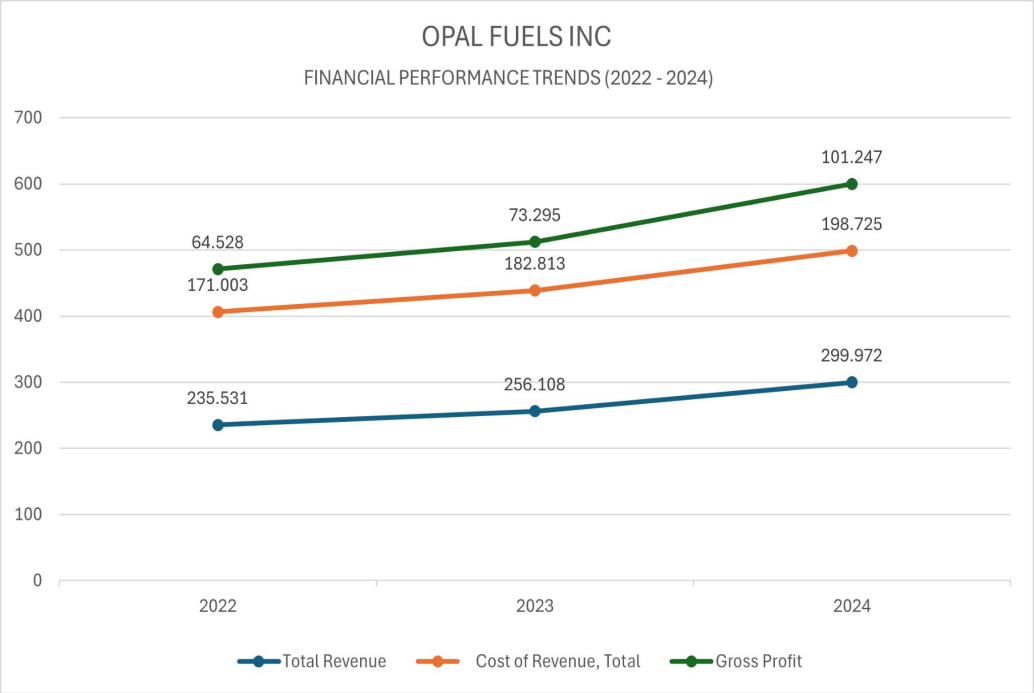
- **Revenue up** from **$235.5M → $299.9M**
- **Gross Profit up** from **$64.5M → $101.2M**
- **Operating Income improved** from **–$0.7M → $8.0M**

Cost Trends

- **Cost of Revenue rising**: **$171.0M → $198.7M**
- **SG&A stable**: roughly **$49–54M** annually
- **Margins tightening** due to cost growth

Overall Position

- **Stronger revenue and profit trajectory**
- **Operations improving with positive operating income**
- **Cost pressure remains the key risk**



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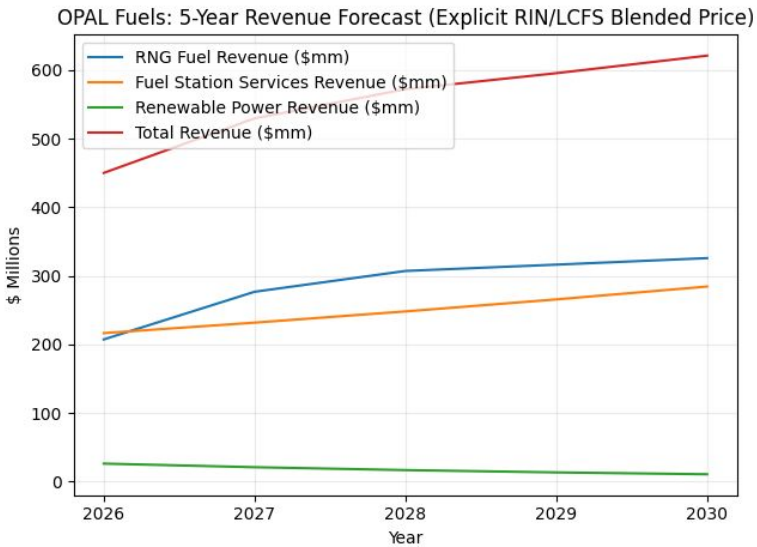
Financial Forecast

Key Highlights

- **Revenue Growth:** Total revenue projected to rise from **$249M in 2025** to **$558M by 2030**, a **CAGR of ~17%**.
- **RNG Fuel Expansion:**
  - Driven by new site ramp-ups (Atlantic, Burlington, Cottonwood, Kirby, CMS Concord).
  - RNG production grows from **4.8M MMBtu** in 2025 to **≈9.0M MMBtu** by 2030.
  - Blended pricing (RIN + LCFS + 45Z credit) increases from **$33.8/MMBtu → $37.7/MMBtu**.
- **Fuel Station Services:**
  - Base volume of **160M GGE (2025)**; growing **6–7% YoY** with modest price inflation (1%).
  - Revenue contribution rises from **$149M → $300M**.
- **Renewable Power:**
  - Declines ~20% YoY as facilities convert to RNG, falling from **$33M → $38M → $30M** range.



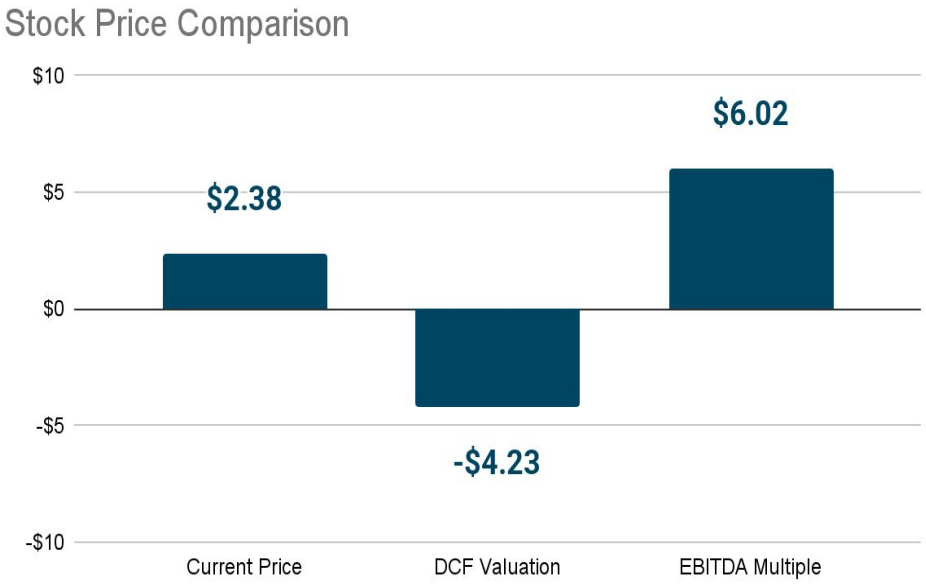
Assumptions Summary

- **RNG 2025 Base:** 4.8 MM MMBtu (Q1–Q4 actuals).
- **Organic Growth:** +3% per year.
- **New Capacity Adds:** Atlantic, Burlington/Cottonwood (2026); Kirby + CMS (2027).
- **RIN Curve:** $2.43 → $2.6 by 2028.
- **LCFS Curve:** $100 → $90–100.
- **45Z Credit:** +$2/MMBtu from 2026.

Company Valuation

Key Assumptions:

- Discount rate: **7.8%**
- Terminal Growth Rate: **3%**
- EBITDA Multiplier: **7x**
- Adjusted EBITDA margins increase **27% → 35%** as virtual pipeline costs end and projects mature.
- Tax rate **0%** through 2027 (using NOLs), then **10%** and **25%**.
- CapEx declines from **35%** to **20%** of revenue (growth to maintenance mode)



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Thank you

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